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MDMIE01

Who Pays, Who Gets Value, and How Does This Work?

Week 8 • MDMIE01

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THE ARC

Your Idea Has Survived Questions

An idea explains what you want to do. A business model explains how the pieces work together.

A

Weeks 1 to 4

Problem and user

B

Week 5

Generate and choose

C

Week 6

Test the risky assumption

D

Week 7

Interpret and decide

E

Week 8

Build the business logic

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MODULE 4

Module 4 Starts Now

Learning outcomes

- Business Model Canvas, Value Proposition Design
- Customer Segments, Customer Discovery
- First business-model draft for your project

This week

First 4 hours of 9

Full module

9 hours total

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STILL FIVE SLIDES

Do Not Add Nine New Things to P1

Do not suddenly add a Business Model Canvas to Presentation 1. Week 8 begins building toward Presentation 2.

A

Slide 1

Problem, context and target user

B

Slide 2

Customer evidence

C

Slide 3

Journey, pain point and How Might We

D

Slide 4

Selected direction and prototype

E

Slide 5

Assumption, test, result, decision and what changed

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EIGHT QUESTIONS

Good Idea Is Not a Business Case

A business case connects customer value to delivery and economics.

Who has the problem, what value are we creating, why would they choose it, how will we reach them, what must we do to deliver it, what does it cost, where could money come from, what assumptions are still risky.

Key line

A business case connects customer value to delivery and economics.

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SESSION PLAN

What We Are Doing Today

1	Idea versus business model, the nine BMC blocks	*30 min*
2	Customer, user and payer	*30 min*
3	Value, channel, relationship, revenue, costs, activities, partners	*70 min*
4	Value Proposition Canvas and real cases	*55 min*
5	Business Model Radar, assignment and recap	*25 min*

Break + activity transitions + discussion buffer: 30 min

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PART 1

How Does the Business Actually Work?

Idea versus business model, the nine BMC blocks, customer, user and payer.

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THREE LEVELS

Idea, Product, Business Model

Idea

Verified internship opportunities for students

- Just a direction
- Not yet built
- Not yet a business

Product or Service

Weekly verified opportunity digest

- Something real that exists
- Something a user experiences
- Still not the whole business

Business Model

- Who receives value
- Who pays
- How it reaches them
- What must happen behind it
- What it costs
- How the model can continue

A product is part of a business model. It is not the whole business model.

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A DEFINITION

What Is a Business Model?

A business model explains how you create value, deliver value and sustain the organisation.

It is a simplified representation of how an organisation does business and makes money, expressed through nine connected building blocks.

Speaker caution

Do not turn this into MBA theory.

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WHY A CANVAS

Why Use a Canvas?

A canvas lets you see the whole model together, on one page.

It helps you identify gaps, find assumptions, discuss alternatives quickly, and change one block to see what else moves.

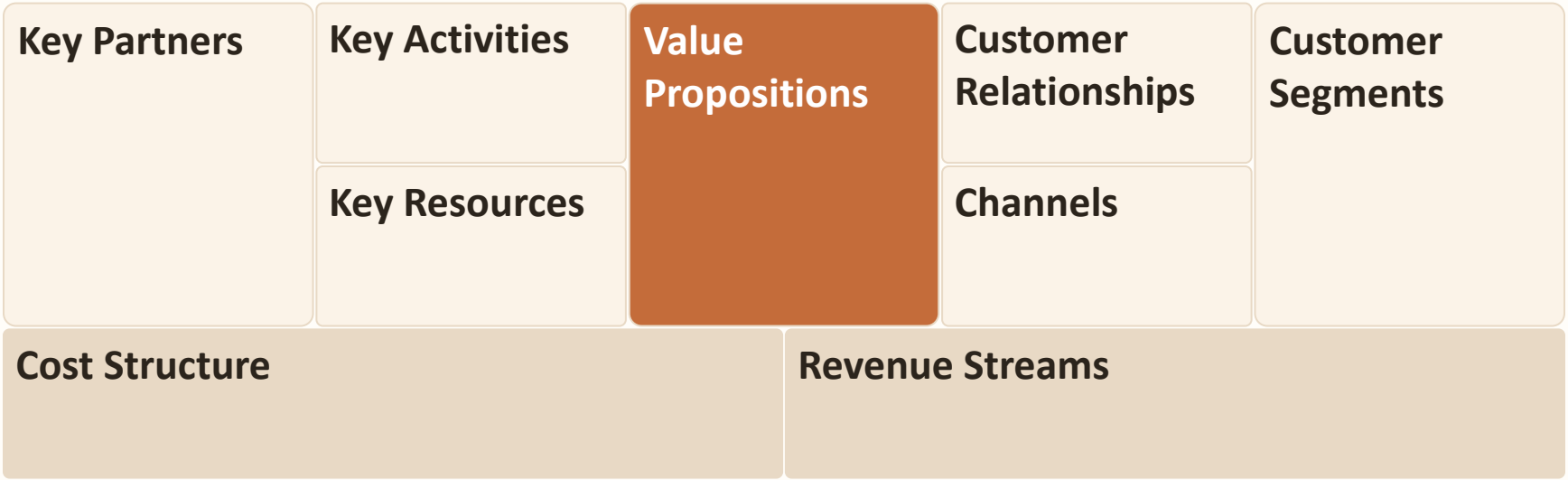
Purpose

A tool to describe, design, challenge, invent and pivot business models.

THE NINE BLOCKS

The Business Model Canvas

You do not need to memorise the order. You need to understand the logic.



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TWO BLOCKS FIRST

Start Here, Not Everywhere

Customer Segments

Who do you create value for?

- The starting point of the whole canvas
- Everything else depends on this
- Get this vague, and the rest is guessing

Value Proposition

What do they actually get?

- The reason they choose you
- Tied to a real job, pain or gain
- Not a list of features

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BE SPECIFIC

Everyone Is Not a Customer Segment

Who feels this problem strongly enough to care?

Weak: students. Better: second-year engineering students actively looking for internships. Better still: those who rely on scattered WhatsApp, LinkedIn and college-group updates.

Question

Who feels this problem strongly enough to care?

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THREE ROLES

They May Be Three Different People

Do not automatically assume the person using something is the person paying.

USER

Uses the solution.

BUYER / DECISION-MAKER

Decides whether the solution will be purchased or adopted.

PAYER

Provides the money.

Cybersecurity software for a company

User	Buyer / Decision-Maker	Payer
IT / security employee	IT head or management	The company

Sometimes all three roles are the same person. Sometimes they are not.

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CLASSROOM EXAMPLE

Navi Mumbai Social Media Agency

Illustrative service business example

Example setup

User: marketing employee or cafe owner. Customer: local cafe or restaurant. Payer: business owner.

Why it matters

Posting content is easy. Connecting marketing work to walk-ins, enquiries or bookings is harder.

Takeaway

This is a classroom example to practise user, customer and payer thinking, not a market claim.

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CLASSROOM EXAMPLE

Small Business Cybersecurity Service

Illustrative service business example

Example setup

Segment: small clinics, agencies or local SMEs without a security team. User: employee or IT staff. Buyer: business owner.

Why it matters

Potential value: simple baseline security monitoring, awareness and response support without hiring a full security team.

Takeaway

This is a classroom business-model example, not a market claim.

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IN-CLASS ACTIVITY

Who Exactly Are You Serving?

15 min Duration

Teams Group size

1. Write your primary user, customer/buyer, and payer
2. Write who has the strongest problem, and who can say yes
3. Write who could block adoption
4. If your answer is everyone, name who you would approach first

Expected output

A simple stakeholder map for your project

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NOT A FEATURE LIST

Why Should This Customer Care?

A value proposition is the meaningful value created for a specific customer.

It is not: AI-powered platform with smart analytics. A strong value proposition ties directly to the jobs, pains and gains that matter to a defined customer segment.

Remember

Value is meaningful to someone specific, not a list of features.

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EXAMPLES

Feature vs Value

Feature

Automated deadline alerts

- Feature: monthly cybersecurity scan
- Value: helps spot basic exposures early
- Same pattern: feature alone, value tied to pain

Value

Reduces the chance a student misses a relevant deadline

- A repeated pattern
- Every feature should map to a job, pain or gain
- If it does not, ask why it is there

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REACH AND DELIVERY

How Do They Find and Receive This?

Where is your customer already?

Website, app, WhatsApp, Instagram, college partnership, reseller, physical location, sales call, marketplace.

Key lesson

Do not assume build an app means customers will discover it.

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AFTER THEY ARRIVE

What Happens After They Find You?

Self-service, personal support, account management, community, subscription, automated support, repeat service.

An agency is relationship-heavy. A payment platform needs scalable support and documentation. A salon relies on repeat personal service.

Question

What kind of relationship does your customer actually expect?

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HOW MONEY ENTERS

How Could Money Enter the Model?

Revenue model is not the same thing as we will earn profit.

One-time sale, subscription, service fee, retainer, commission, transaction fee, licence, freemium plus paid tier.

Beginner-friendly

Pick the model that matches how your customer already pays for similar things.

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CASE STUDY

Razorpay

Real example: revenue mechanism

What happened

Razorpay's current standard payment-gateway pricing lists a 2% + GST platform fee per successful transaction, with custom pricing available for higher-volume businesses.

Why it matters

Customer receives payment infrastructure. Razorpay can earn transaction-linked fees. Do not memorise the 2%.

Takeaway

Ask instead: what causes Razorpay's revenue to happen?

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A KEY DISTINCTION

Revenue Is Not Profit

Revenue tells you money came in. Profit asks what remained.

Customer pays 1,000 rupees. That does not mean 1,000 rupees profit. Costs may include people, technology, delivery, marketing, payments, tools, support, logistics, infrastructure.

Note

No financial modelling yet. Just the idea that revenue and profit are different questions.

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THREE EXAMPLES

What Must You Keep Paying For?

Which cost grows when customers grow?

A

Agency

People, software, content production, sales

B

Cyber service

Analysts, security tools, cloud, support

C

Physical product

Materials, manufacturing, storage, delivery

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THREE EXAMPLES

What Must You Be Good At?

Do not write hard work.

A

Agency

Content production, account management, reporting

B

Marketplace

Matching, trust, payments, support

C

Cybersecurity

Monitoring, analysis, incident handling

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WHAT YOU NEED

What Do You Need to Deliver Value?

If this disappeared tomorrow, could the business still deliver?

People, technology, data, brand, equipment, licences, physical locations, intellectual property, supplier network.

Test it

Which resource, if it disappeared tomorrow, would stop you delivering?

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PARTNER VS CUSTOMER

Who Helps Make the Model Possible?

Partners may provide supply, distribution, infrastructure, expertise, regulatory access, payment rails, logistics.

A partner is not the same as a customer. A partner helps you deliver. A customer receives the value.

Important distinction

Partner is not customer.

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IN-CLASS ACTIVITY

BMC v0.1

25 min Duration

Teams Group size

1. Complete first: Customer Segment, Value Proposition, Channel
2. Continue: Relationship, Revenue Stream, Activities, Resources
3. Then add Partners and Cost Structure
4. Mark every statement E for evidence or A for assumption

Expected output

One first-draft Business Model Canvas

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STILL A HYPOTHESIS

Your First Canvas Is Mostly Hypotheses

A Business Model Canvas is a map of your current thinking, not proof.

Students often fill BMC boxes as if they are facts. Customers will pay 299 rupees a month. Where did that come from? Until tested: assumption.

Rule

If you cannot point to evidence, label it an assumption, not a fact.

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COMMON MISTAKES

What Weak Canvases Look Like

Students will recognise these because many project canvases genuinely look like this.

A	B	C	D	E
Customer Segment	**Value Proposition**	**Key Partners**	**Revenue**	**Key Activity**
Everyone	Best innovative AI platform	Google, Microsoft, Government	Ads plus subscription plus commission plus sponsors	Development

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RUNNING EXAMPLE

What a Better Canvas Looks Like

Unknown is better than a made-up answer.

A

Customer

Second-year engineering students seeking opportunities

B

Value

Verified opportunities with clear eligibility and deadlines

C

Channel

College groups plus weekly WhatsApp digest

D

Relationship

Self-service digest plus feedback link

E

Revenue

Unknown, not yet tested

F

Activities

Verify, filter, organise and publish

G

Resources

Opportunity sources plus verification workflow

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RECAP

Part 1 Recap

Concept

- Business model is not the same as product
- Nine connected blocks

Example

- Customer, user and payer differ
- Value, channels, revenue, costs, activities, resources, partners

You did

- Assumptions remain assumptions
- Built a first-draft canvas

Now zoom into the most important relationship: customer and value.

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PART 1 IS DONE

Part 1 Is Done

Now zoom into the most important relationship in the canvas: customer and value.

Short break

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PART 2

Value Is Not Your Feature List

The Value Proposition Canvas, real cases, and your first evidence check.

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A CLOSER LOOK

Value Proposition Canvas

This zooms into the single most important relationship in the whole canvas: customer and value.

One side is the Customer Profile: jobs, pains and gains. The other is the Value Map: your product or service, pain relievers, and gain creators.

Purpose

Connect real customer jobs, pains and gains with how your offering actually helps.

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THE REAL TASK

What Is the Customer Trying to Do?

The customer's job existed before your solution.

Not: use our internship app. The actual job: find a relevant opportunity and apply before the deadline.

Job types

Task, problem to solve, outcome, or need.

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THE DIFFICULTY

What Makes That Job Difficult?

Time, cost, uncertainty, inconvenience, risk, confusion, trust, poor existing options.

Internship example: updates scattered, eligibility unclear, expired links, unverified information.

Ask

What specifically makes this job harder than it should be?

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THE BETTER OUTCOME

What Outcome Does the Customer Want?

Gain does not mean a random feature.

Save time, reduce effort, feel safer, increase certainty, improve results, avoid mistakes, receive faster service.

Important

A gain is a real, wanted outcome, not a feature you happen to have built.

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VALUE MAP

Now Map Your Value

Do not try to relieve every pain.

Products or services: what you offer. Pain relievers: how it reduces a meaningful pain. Gain creators: how it improves an outcome.

Strategyzer's advice

Focus on the jobs, pains and gains that matter most, rather than trying to solve everything.

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CASE STUDY

Urban Company InstaHelp

A clear job: I need help now

What happened

Urban Company describes InstaHelp as quick-service housekeeping for tasks including cleaning, dishwashing, laundry and meal preparation, delivered within roughly 10 to 15 minutes of booking. It crossed one million monthly delivered bookings in March 2026.

Why it matters

Classroom interpretation, not Urban Company's own words. Possible job: get urgent household work done. Possible pain: availability, time, trust.

Takeaway

A clear, specific job is easy to design around. Vague jobs are not.

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BEYOND DESIRABILITY

Value Has Operational Consequences

Customer desirability is necessary. It is not the whole business model.

In Q1 FY27, Urban Company said InstaHelp delivered 3.82 million orders, but also reported a substantial Adjusted EBITDA loss for the vertical while continuing to invest in it.

Key line

Strong demand and difficult economics can exist in the same business at once.

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IN-CLASS ACTIVITY

Value Proposition Reality Check

20 min Duration

Teams Group size

1. For your primary customer: 1 important job, 3 pains, 3 gains
2. Your side: current product, 2 pain relievers, 2 gain creators
3. Cross out anything that solves no important pain or gain
4. Cross out anything that exists only because the team likes the feature

Expected output

One customer Value Proposition Snapshot

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BUSINESS MODEL RADAR

What Changed This Month?

Three real business moves from August 2026. For each one, ask which block of the business model changed.

A	B	C
Rule	**Connects to**	**Ask**
Not whether it sounds cool	The nine BMC blocks	Which block of the business model changed here?

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CASE STUDY

Swiggy Dineout: Order-in-Cinemas

Channel plus partnership

What happened

On 25 August 2026, Swiggy Dineout announced Order-in-Cinemas, allowing customers at participating cinemas to use QR-led ordering from their seats, partnering with Cinepolis, Asian Cinemas and cinema and POS technology providers.

Why it matters

Channel: cinema seat and QR. Partners: cinema chains plus POS and software providers. Customer value: less queueing, in-seat ordering.

Takeaway

Innovation can happen through channel plus partnership, not just through a new product.

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CASE STUDY

Food on Train Expands

Same company, different context

What happened

On 27 August 2026, Swiggy said Food on Train had expanded to 201 stations, up from 66 in 2024, growing 12x over two years, and added Search by Train and affordability-focused discovery.

Why it matters

Customer context: people travelling by train. Channel: rail journey and station network. Value: meal discovery connected to the traveller's train, route and schedule.

Takeaway

The same company can adapt its channels and value proposition to very different customer contexts.

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CASE STUDY

Razorpay Vulcan

New technology is not automatically a new business model

What happened

On 18 August 2026, Razorpay announced Vulcan, an AI foundation model built around India's payment ecosystem and payment reliability and safety problems.

Why it matters

It may change value proposition, key resources, key activities and product capability, without necessarily changing customer, revenue mechanism or the overall business model.

Takeaway

New technology and new business model are not the same thing. This is the same lesson from Week 3 on innovation types.

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ASSIGNMENT

Business Model Canvas v0.1

Draw your 9-block canvas. Mark each statement E for evidence or A for assumption.

Type	Time Required	Deadline	Format	Marks
Permanent team	**45 to 60 minutes outside class**	**Batch-specific deadline on Microsoft Teams**	**Maximum 2 handwritten pages**	**Ungraded this week**

Note: *One PDF per permanent team via Microsoft Teams. File name: Team Name - MDMIE01 Week 08 Business Model Canvas.pdf*

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ASSIGNMENT DETAILS

What the Two Pages Must Contain

Your first business-model hypothesis, not a finished business plan.

PAGE 1

Business Model Canvas v0.1

Draw the complete 9-block Business Model Canvas.

For every important statement, mark E for supported by evidence or A for currently an assumption.
UNKNOWN is allowed.

PAGE 2

Customer + Value Reality Check

1. Primary user
2. Customer / buyer
3. Payer
4. One important customer job
5. Top three pains
6. Top three gains
7. Current value proposition in one sentence
8. Three riskiest BMC assumptions
9. Which assumption should be tested next?
10. One thing your team deliberately wrote UNKNOWN instead of inventing

Do not invent revenue, customers, partners or evidence just to fill a box.

Expected output: one first-draft business-model hypothesis.

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WEEK 08 RECAP

The Business Is Bigger Than the Idea

Six questions every business model has to answer.

CUSTOMER	VALUE	DELIVERY	OPERATIONS	ECONOMICS	ASSUMPTIONS
Who gets value?	Why should they care?	How do we reach and serve them?	What must happen behind the scenes?	Where does money enter and where does money leave?	What still needs evidence?

Your first canvas is not the answer. It is the next set of questions.

Next week: Customer Segments, Customer Discovery and improving business-model fit.